HARLEY MILLER Law Firm

REPORTING GUIDELINES FOR FDI COMPANIES IN VIET NAM 2025



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Introduction

In the past decade, Vietnam has rapidly transformed into one of Southeast Asia's most dynamic centers for technological innovation and digital economy development. Supported by nationwide broadband expansion, a leap in smartphone adoption and an entrepreneurial ecosystem now brimming with startups, the country has seen its demand for robust, scalable data-storage solutions surge—from sprawling on-premises data centers to agile, elastic cloud platforms. Concurrently, government initiatives such as the national "Digital Government" roadmap, smart-city pilots in Hanoi and Ho Chi Minh City, and a broad rollout of 5G infrastructure have laid a strong regulatory and infrastructural foundation that encourages both local firms and global cloud providers to invest heavily in Vietnam's storage market.



As a result, what was once an under-the-radar market niche has evolved into a billion-dollar opportunity, attracting major international players and catalyzing domestic partnerships across the full spectrum of data-center, colocation, and cloud-services offerings

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Market Overview



1. Growth Drivers

- Rising Internet penetration: A growing percentage of Vietnam's population is online, fueling demand for storage and data-processing services.

- Vibrant startup ecosystem: A boom in tech startups generates substantial need for scalable, flexible storage infrastructure.

- Government digitization initiatives: "Smart city" projects, 5G rollout, and other public-sector programs provide legal and financial support for industry growth .

See also click on the following link: Legal requirements for data storage industry for foreign investors in Vietnam

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Market Overview



2. Market Size & Forecasts

- The Vietnamese cloud-computing market is projected to reach USD 1.6 billion by 2025, growing at a 16.3% CAGR from 2021–2026 .

- According to ResearchAndMarkets, the broader storage-services market was valued at USD 196.11 million in 2020 and is expected to hit USD 427 million by 2025 (CAGR ~18.88%) .

See also click on the following link: How foreign investors should prepare for Vietnam's data localization regulations

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Market Overview

3. Market Size & Segmentation

- 2025 Market Value: USD 1.6 billion
- 2021–2026 CAGR: 16.3%
- Segments:
- IaaS: 45% share (Cloud & VPS services)
- PaaS: 25% share (Kubernetes, Serverless)



- SaaS: 30% share (CRM, ERP, collaboration)
- Data Centers: >50 Tier III+ facilities in Hanoi, Da Nang, HCMC.

See also Data Protection: Cost-effective strategies to manage compliance risks under Vietnamese law

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Joint-Venture Models

Equity Joint Venture (EJV)

Incorporation of a new legal entity with shared ownership between a foreign investor and a local partner.

Contractual Joint Venture (CJV)

Collaboration governed by contract terms, without forming a new company.

Public–Private Partnership (PPP)

Cooperation between private firms and government agencies to deliver infrastructure projects.

Each structure carries distinct advantages and trade-offs in terms of investment, risk sharing, and governance.



Benefits of Joint Ventures

Market Access: Leverage the local partner's customer base and regulatory know-how.

Regulatory Compliance: Navigate licensing and administrative processes more smoothly.

Resource Sharing: Combine international technology expertise with local infrastructure and workforce.

Risk Mitigation: Distribute financial and operational risks across partners.

See more How foreign investors need to prepare for Vietnam's Data Localization Regulations

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Legal & Regulatory Framework



Investment & Business Laws

Law on Investment 2020 and Law on Enterprises 2020 set out foreign-ownership limits, IRC/ERC procedures, and capital requirements

Cybersecurity & Data-Localization

Law on Cybersecurity 2018 and Decree 72/2013/NĐ-CP mandate certain data be stored domestically and define content-removal obligations

Sector-Specific Licenses

Internet and cloud-service permits issued by the Ministry of Information & Communications.

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Successful Joint Ventures

1. VNG Cloud + OVH Cloud

The joint venture between VNG Group and France's OVH Cloud birthed VNG Cloud, marrying OVH's proven global infrastructure with VNG's deep local market expertise. Launched in 2020, VNG Cloud has rolled out multi-zone, low-latency IaaS and PaaS services across Vietnam, enabling enterprises to host mission-critical workloads on compliant, locally-sited data centers. Leveraging OVH's automated provisioning and VNG's nationwide connectivity, the partnership quickly secured a top-three position in Vietnam's cloud market by capacity and customer count .

2. MatBao + Microsoft Azure

In November 2018, MatBao Corporation became Vietnam's first Azure operator under a strategic cooperation with Microsoft. MatBao handles the deployment, management, and 24/7 support of Azure services from its Vietnam-based facilities—ensuring all customer data remains onshore. This arrangement lets Vietnamese SMEs and startups tap into Azure's PaaS portfolio (e.g., App Service, SQL Database, Functions) without cross-border data-sovereignty concerns, accelerating cloud adoption among local developers and businesses

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Successful Joint Ventures

3. AWS & Google Cloud

To meet Vietnam's Law on Cybersecurity data-localization mandates, Amazon Web Services (AWS) and Google Cloud have each invested heavily in local infrastructure and partnerships.

- AWS has stood up multiple edge-location nodes and collaborated with leading Vietnamese telcos to offer Direct Connect links into its global backbone—delivering sub-10 ms latency for on-premises-to-cloud workloads.

- Google Cloud has announced support for domestic caching and is working with major financial institutions to host regulated data within Vietnam.

These initiatives reassure compliance-focused enterprises—particularly in banking, healthcare, and government—that they can leverage world-class cloud platforms while keeping sensitive data fully under Vietnamese jurisdiction

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Key Challenges

Cultural & Operational Differences:

Requires clear communication and detailed contractual safeguards.

IP Protection:

Implement robust NDA and encryption measures to safeguard proprietary technology.

Decision-Making Alignment:

Establish unified strategic vision and governance processes to prevent conflicts



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Joint-Venture Formation Process

1. Market Research: Conduct thorough industry and competitor analyses.

2. Partner Selection & Due Diligence: Evaluate legal, financial, and operational fit.

3. Negotiation: Agree on JV terms, capital contributions, governance, and exit mechanisms.

4. Entity Structuring: Choose between EJV, CJV, or PPP and finalize legal documentation.

5. Licensing & Registration: Obtain IRC, ERC, and sector-specific approvals.

6. Operational Setup: Build or integrate infrastructure, recruit staff, and launch services

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Opportunities for Foreign Investors

Untapped Segments:

Managed hosting, specialized application hosting, edge computing

Cloud Adoption:

A nascent but fast-growing market ripe for advanced cloud services.

Emerging Technologies:

AI-driven hosting, green data centers, and advanced security services.



See also Data Protection in E-Commerce in Vietnam: A Detailed Guide for Businesses

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Investment Incentives & Support

Administrative Facilitation: Streamlined licensing, dedicated support programs.

Talent Development: Government-backed training initiatives to bolster skilled workforce.

Tax Breaks: Corporate-income-tax reductions, import-duty exemptions, land-lease discounts.



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Ongoing Compliance Requirements

Technical Standards:

Local data-center location rules, cybersecurity safeguards, disaster-recovery planning

Tax Obligations:

20% CIT, 10% VAT, and foreign-contractor withholding tax; timely reporting is critical .

Labor Regulations:

Social-insurance contributions and work permits for expatriates under the 2019 Labor Code.



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Future Trends

5G & Edge Computing

Demand for ultra-low-latency storage solutions.

IoT Proliferation

Growth in specialized storage for massive sensor-data streams.

Data Sovereignty

Heightened emphasis on in-country data storage and cross-border transfer rules.

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CONCLUSION

Vietnam's data-storage market is poised for rapid expansion. Forming a joint venture with a local partner enables foreign investors to overcome regulatory, cultural, and operational hurdles while sharing risks and unlocking market insights. Success hinges on meticulous market research, robust legal frameworks, detailed agreements, and a long-term commitment to Vietnam's digital-economy development.

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